Why Revenue Stagnated at PeakFlow Fitness

AOV Decline, Customer Churn, and Growth Opportunities (2023–2024)

Ricardo Facey

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Business Context

PeakFlow shows strong repeat behavior, but no growth in revenue between 2023-2024

- 78% of customers made multiple purchases
- Revenue (-0.11%) and order volume (+0.16%) remained flat YoY
- 70% of orders are online
- 200+ products
- 10,000 transactions

Tools Used

SQL (DATA EXTRACTION AND TRANSFORMATION)

EXCEL (EXPLORATORY ANALYSIS AND HYPOTHESIS VALIDATION)

TABLEAU (DATA VISUALIZATION AND DASHBOARD DEVELOPMENT)

Approach

1

Segmented customers

- one-time
- repeat

2

Analyzed AOV trends by segment

3

Broke AOV into:

- Basket size
- Average item value

4

Evaluated retention and acquisition

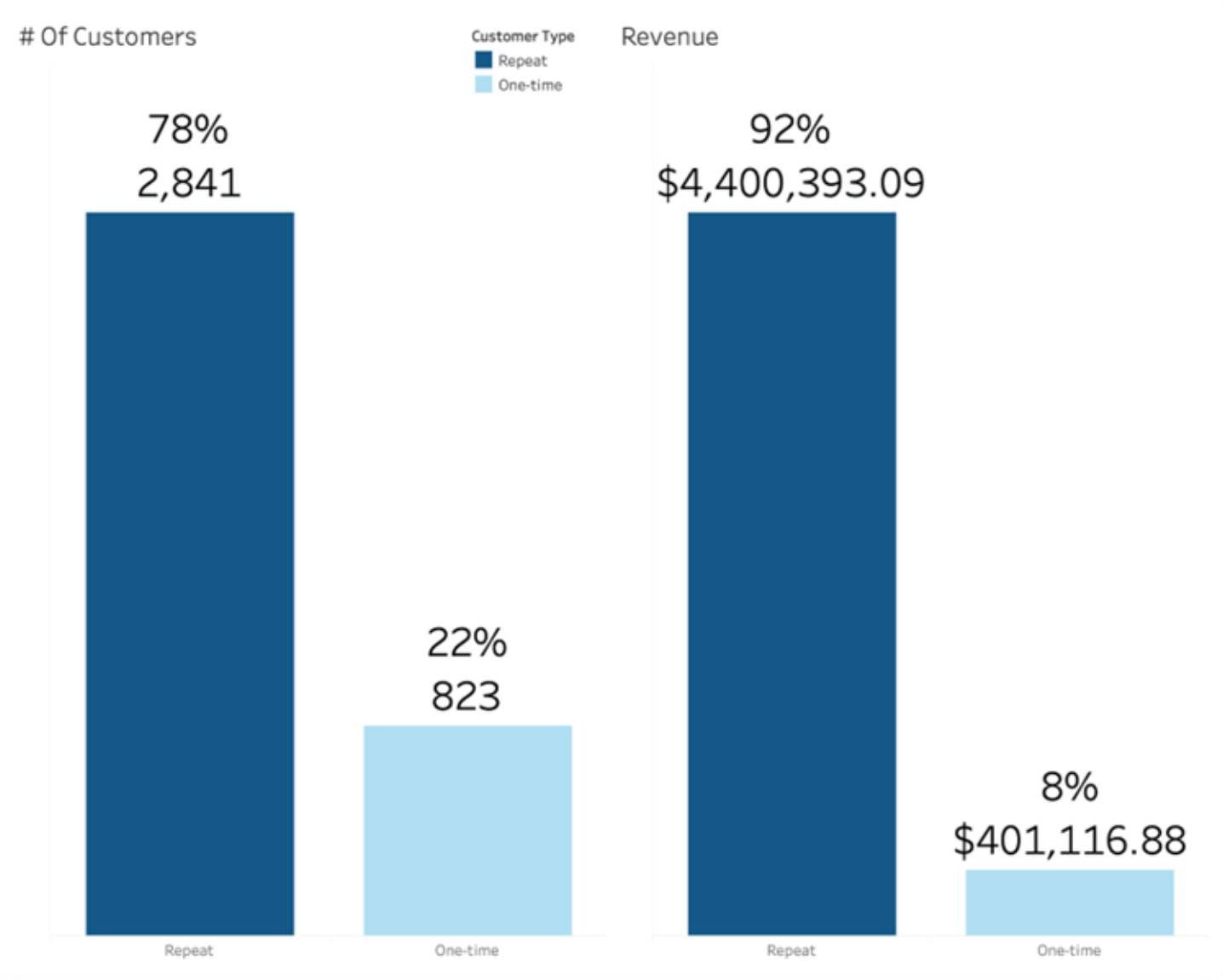
5

Identified product-level opportunities

Key Finding 1: Revenue is highly dependent on repeat customers

- 78% of customers made more than 1 order which contributed to 92% of total revenue

- Due to the dominance of the segment, any change in behavior amongst repeat customers has a greater impact on revenue

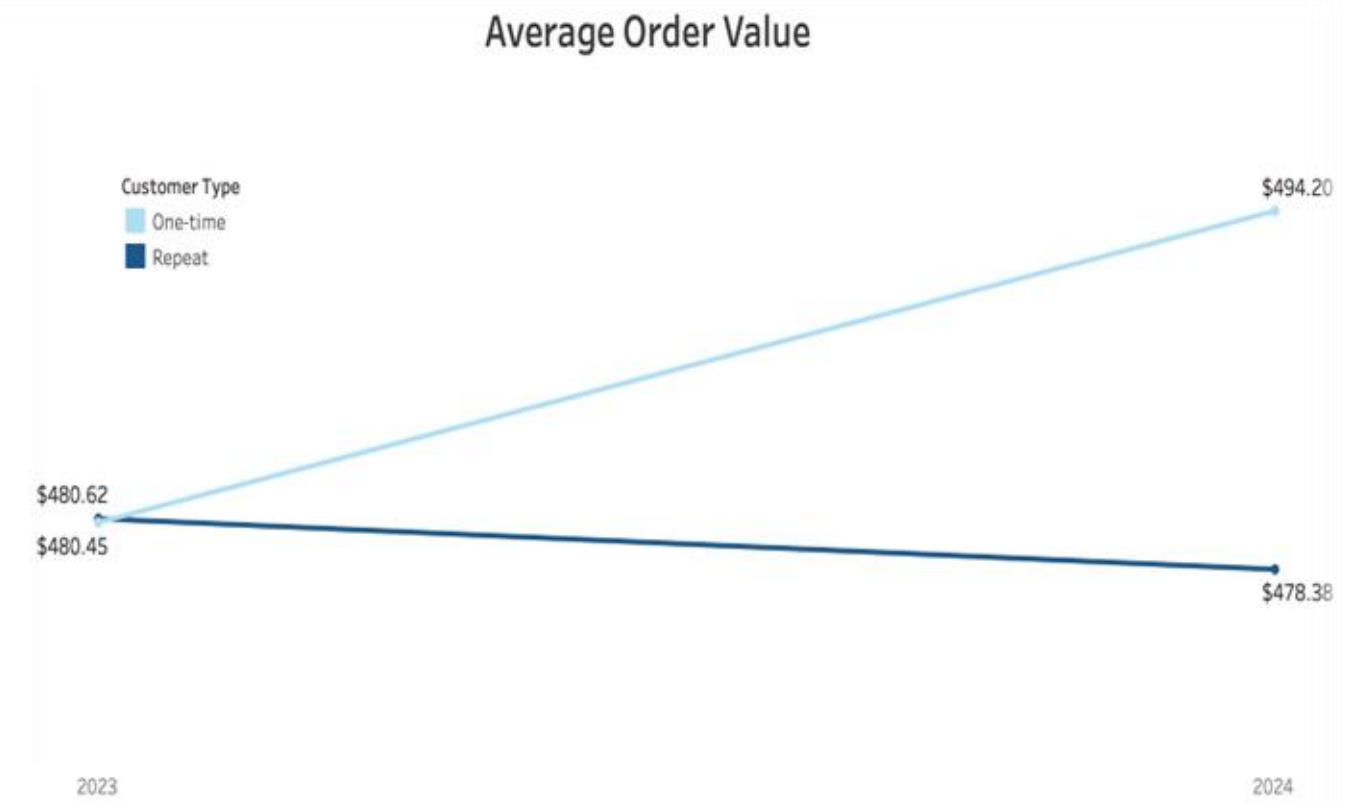


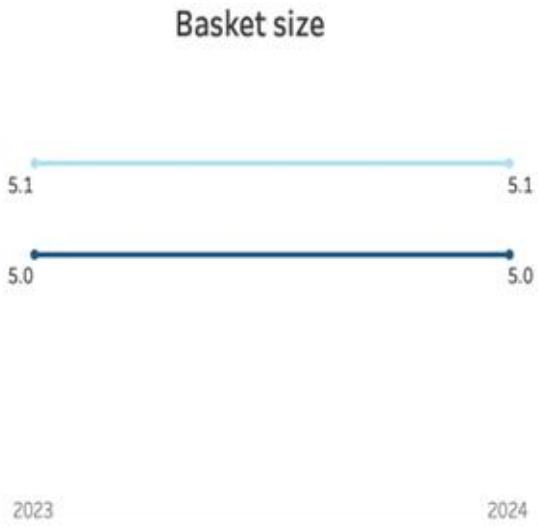
Key Finding 2:
Lower item prices among repeat customers are canceling AOV growth

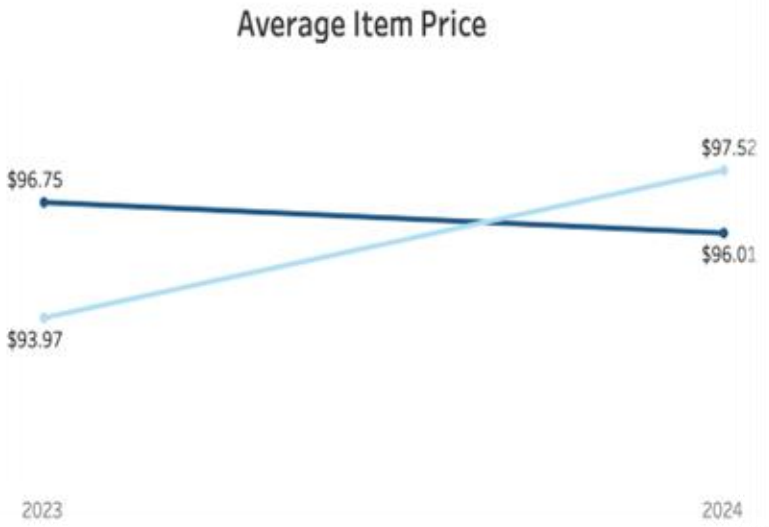
- Basket size remained stable across both segments
- Repeat customers saw a **$0.74 decrease in average item price**
- One-time customers saw a **$13.58 increase in AOV**

Since repeat customers drive 92% of revenue, the decline in item price offset AOV growth from one-time customers, keeping revenue flat

Both basket size and item price present opportunities for growth among repeat customers







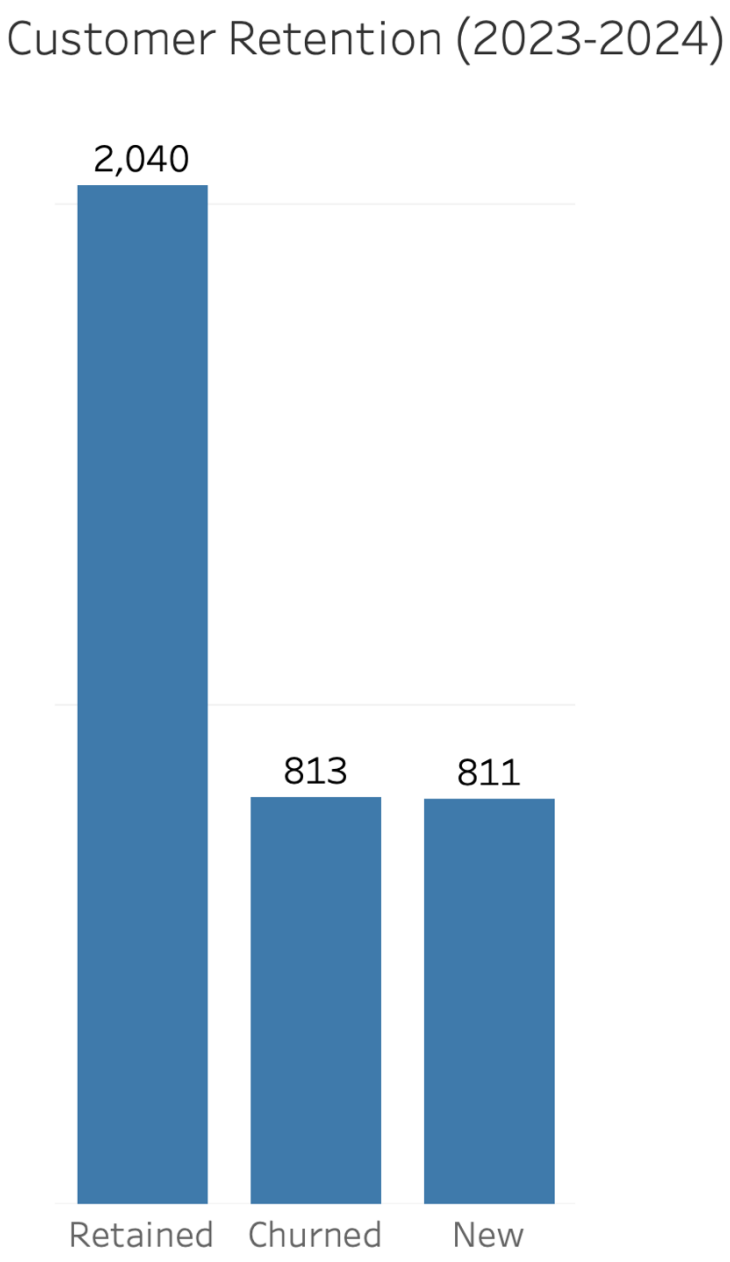
Key Finding 3: Customer churn offsets acquisition

- PeakFlow had 2853 customers in 2023
- ~ 28% (813) of those customers did not place an order in 2024 (churned)
- PeakFlow gained 811 new customers in 2024

Despite 78% of customers making multiple purchases,

PeakFlow experienced a net loss of 2 customers year-over-year,

highlighting opportunities to improve both acquisition and retention.



Recommendations

1. Implement cross-selling and product bundling to increase AOV

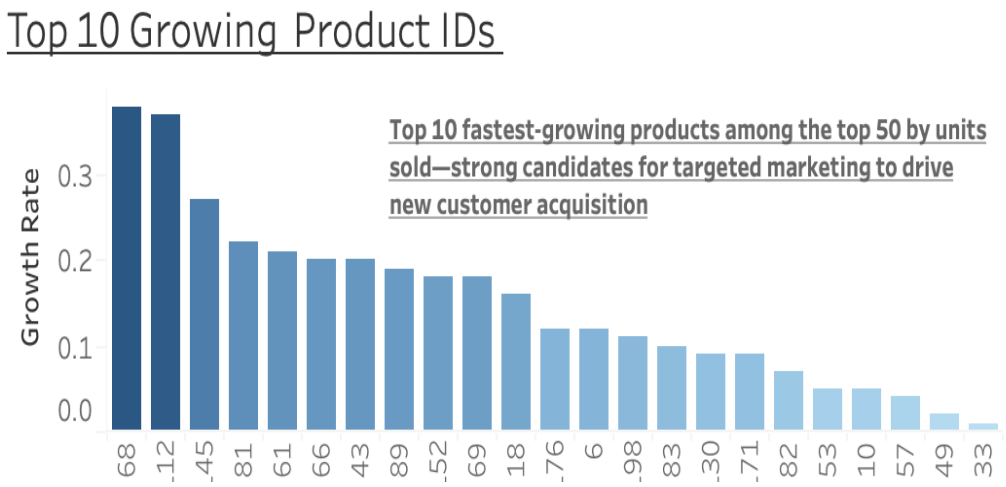
- Bundle high-frequency products with higher-margin complementary items
- implement a “frequently bought together” feature to increase basket size

2. Leverage high-growth, high-margin products to improve acquisition

- Prioritize top-performing products in marketing campaigns
- Use margin flexibility to support promotions and conversion

3. Implement win-back campaigns to reduce churn

- Develop an automated lifecycle (nurture) funnel to re-engage customers post-purchase and reduce churn
- Use personalized offers and purchase-based targeting



Together, these initiatives increase customer value, improve acquisition efficiency, and reduce churn which addresses the core drivers of flat revenue.

Estimated Business Impact (Annualized)

PeakFlow Can Unlock Growth By Improving AOV and Net Customer Growth

(Estimates based on current AOV, order volume, and customer behavior; impacts are not strictly additive)

1. Increase AOV (Bundling & Product Discovery) - Fast Growth

- +0.5 items per order (5.0 → 5.5)
- +$48 revenue per order
- Across ~5,000 orders/year: **~$200K–$250K incremental revenue (~8%-10%)**

2. Increase Net Customers (Acquisition + Retention) - Sustainable Growth

- 120 net new customers annually
- Avg annual revenue per customer ≈ $842
- Estimated impact:**~$100K incremental revenue (~4%)**

Total Opportunity: 10% annual revenue growth potential from AOV expansion alone
(with additional upside from customer growth initiatives)

Final Takeaways

Revenue is flat because:

- Repeat customers drive ~90% of revenue
- Their AOV declined due to lower-priced items
- Customer churn offset new acquisition

Growth will come from:

- Increase AOV among repeat customers
- Improve customer retention
- Acquire customers through high-performing products

What this unlocks:

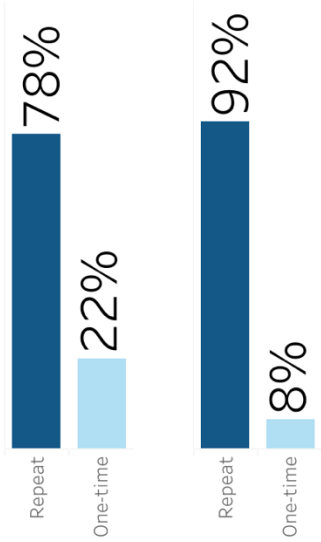
- **$200K–$250K upside from AOV expansion alone**
- Additional long-term upside from improving customer growth (acquisition + retention)
- Combined impact expected to drive **double-digit revenue growth (~10%)** without increasing prices

AOV expansion drives near-term growth, but sustainable growth requires improving both customer acquisition and retention

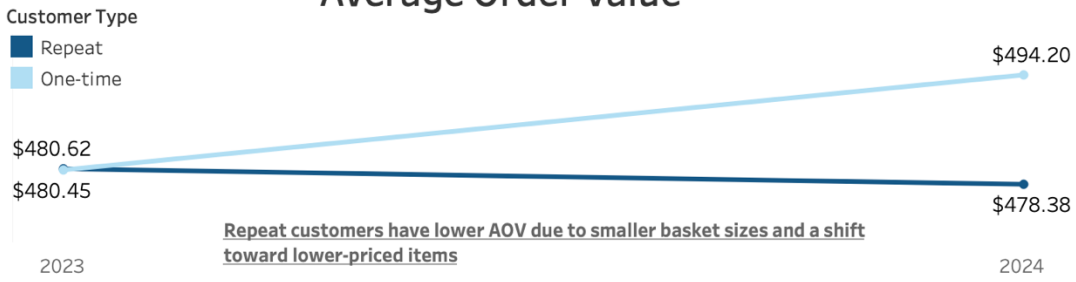
Revenue remained flat due to declining AOV among repeat customers and customer churn (2023-2024)

Revenue	Total Customers	Average Order Value	Basket Size	Average Item Value
4,801,510	3,664	480.2	5.0	96.33

78% of Customers make more than one order and contirbute to 92% of revenue

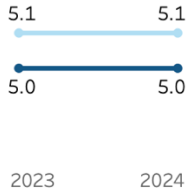


Average Order Value

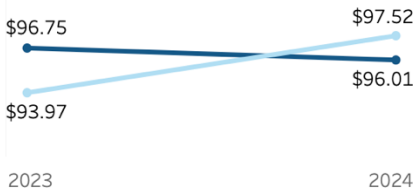


Repeat customers have lower AOV due to smaller basket sizes and a shift toward lower-priced items

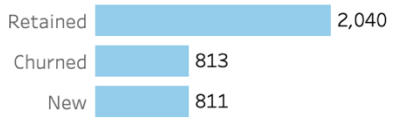
Basket size



Average Item Price

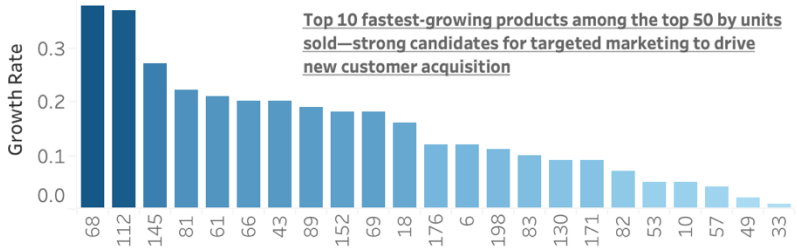


Customer Retention (2023-2024)



Top 10 Growing Product IDs

Top 10 fastest-growing products among the top 50 by units sold—strong candidates for targeted marketing to drive new customer acquisition



Key Insights

- Revenue remained flat year-over-year
- Repeat customers drive 90% of revenue but show declining AOV
- One-time customers have higher AOV but low overall impact
- Customer churn offsets new acquisition
- Opportunity exists to increase basket size and improve retention

Recommendations

- Implement cross-selling and bundling to increase basket size
- Promote high-growth, high-margin products to improve acquisition
- Develop win-back campaigns to improve retention